

THE ART OF NEGOTIATION

MASTERING WIN-WIN OUTCOMES



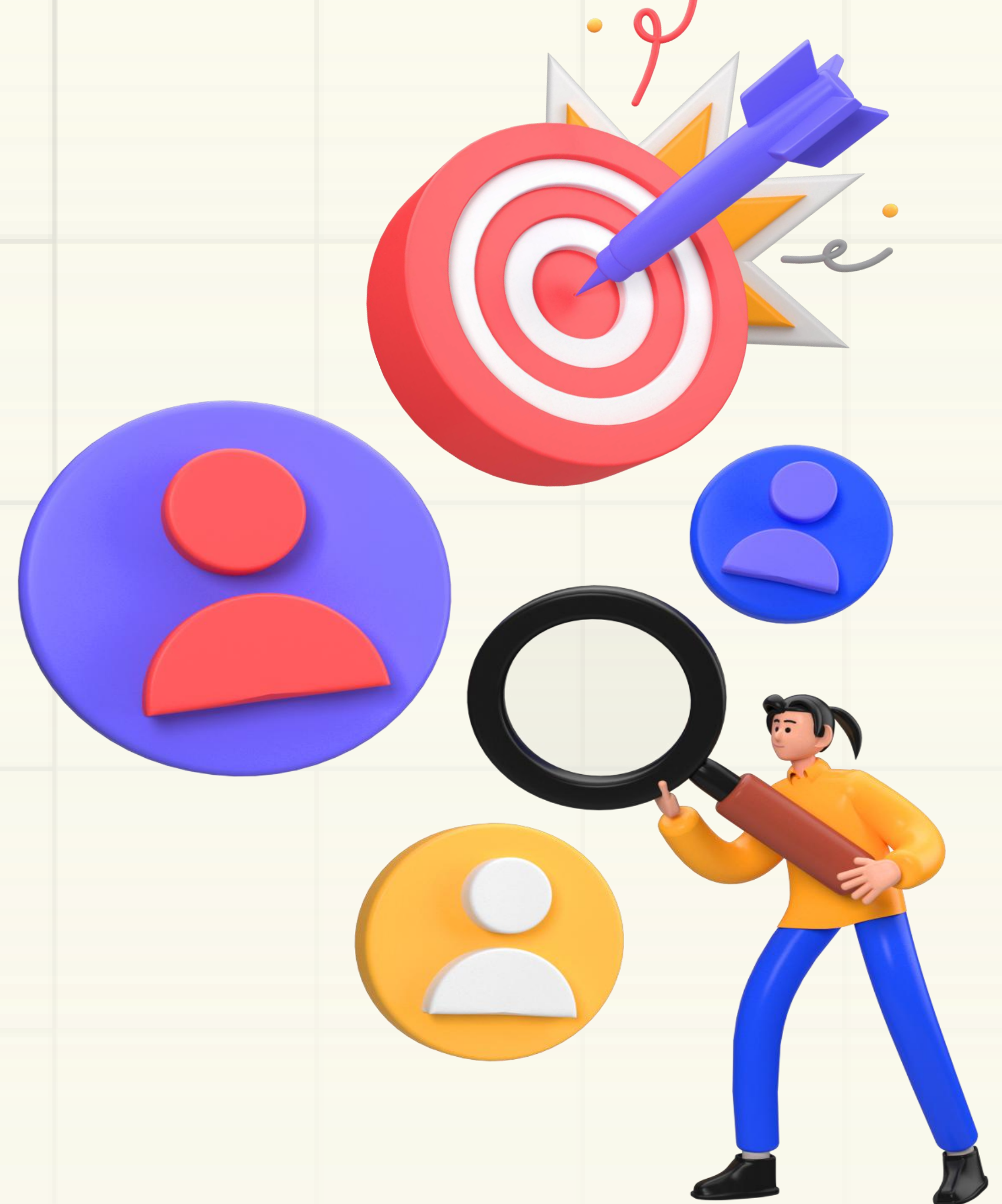
Presented By:

S. Maneesha Aishcharya

MBA(PIM-USJ), B.Sc. Business Administration (Special) (First Class) (USJ),
Chartered Accountancy (Strategic Level) (ICASL)

Scope

- Introduction to Negotiation
- Key Negotiation Principles
- Preparation for Negotiation
- Communication in Negotiation
- Negotiation Strategies and Tactics
- Common Negotiation Mistakes
- Closing and Agreement



INTRODUCTION

- Negotiation is a structured process through which two or more parties attempt to reach a mutually acceptable agreement.
- It involves the exchange of offers, counteroffers, and commitments to resolve differences.
- Effective negotiation aims to achieve outcomes that satisfy both business objectives and long-term relationships.



**“YOU DO NOT GET
WHAT YOU WANT.
YOU GET WHAT YOU
NEGOTIATE.”
-HARVEY MACKAY**

Key Negotiation Principles

- 1) People Before Problems
- 2) Trust and Verify
- 3) Focus on Interests
- 4) Invest in Options
- 5) Divide with Reason
- 6) Mind Power
- 7) Co-own the Process



Negotiation Process

1

PREPARATION: Preparing in advance can improve your confidence, give you clear goals to work toward, and provide a strategy to base your approach on.

2

BARGAINING: Bargaining is about creating value for both you and other parties despite your differences.

3

CLOSING: Closing a negotiation can mean coming to an agreement or ending the discussion without reaching one.

4

LEARNING: Reflecting on the process and learning from your experiences enables you to become a better negotiator.

PREPARATION IS KEY

BEFORE ENTERING ANY NEGOTIATION, KNOW
YOUR GOALS, UNDERSTAND YOUR
COUNTERPART, AND RESEARCH POTENTIAL
SOLUTIONS.



Preparing for a Negotiation

- 1) Build a Relationship
- 2) Set Clear Goals
- 3) Know Your BATNA
- 4) Strategize
- 5) Be Ready to Improvise
- 6) Develop Your Negotiation Skills
- 7) Know What Not to Do



Understanding BATNA

- **BATNA refers to the Best Alternative to a Negotiated Agreement and represents the fallback option if negotiations fail.**
- **BATNA is the course of action you pursue if a deal falls through.**
- **Rather than an escape plan, it's a strategic anchor.**
- **A strong BATNA increases bargaining power and confidence during negotiation.**



How to Identify Your BATNA

- 1) List All Possible Alternatives
- 2) Evaluate Which Alternative Is Most Effective
- 3) Convert Your BATNA Into a Walk-Away Threshold
- 4) Reassess Before and During Negotiation



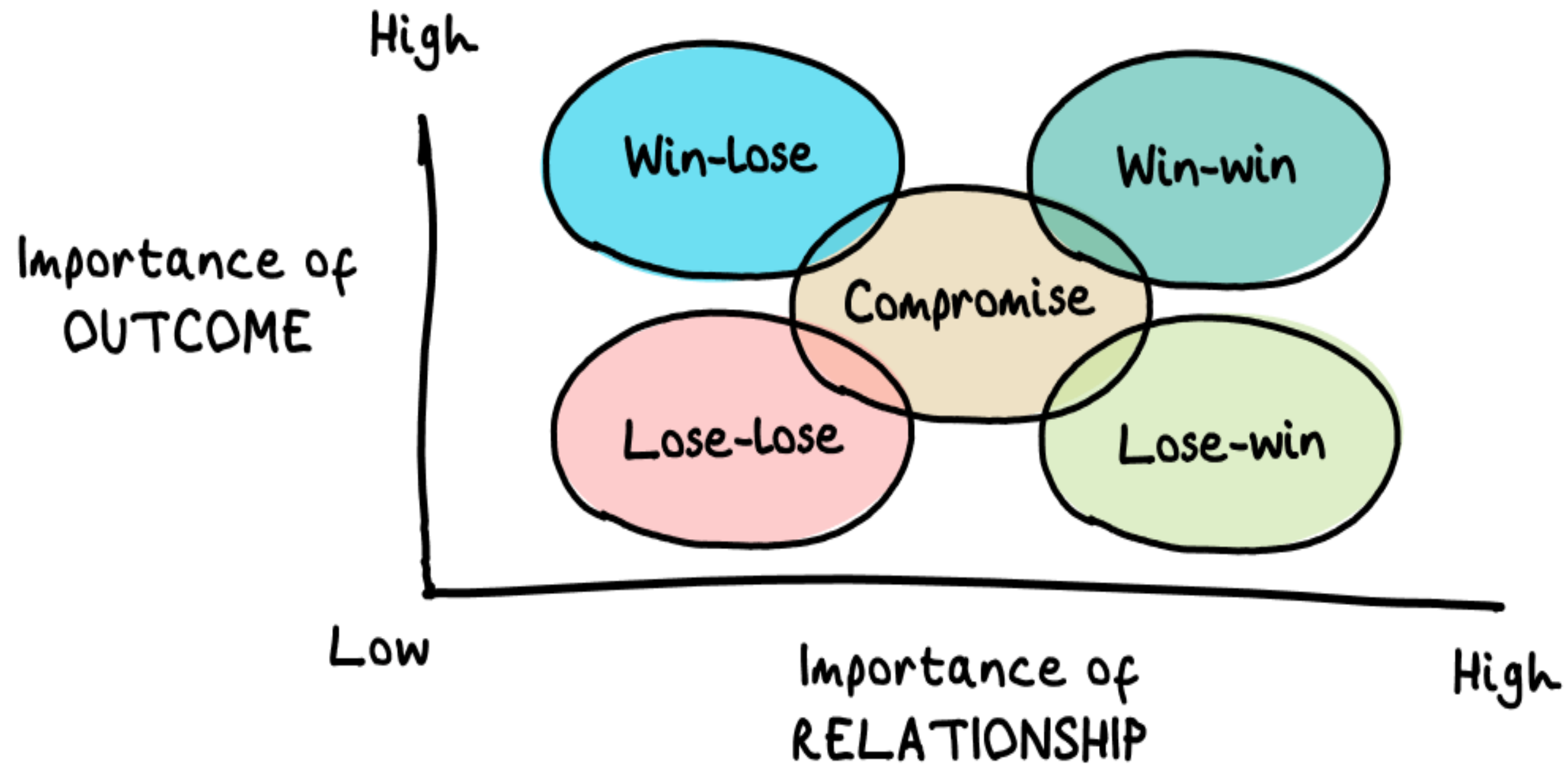
***Strong negotiations begin before you enter the room;
they begin with your BATNA***

Communication in Negotiation

- **Active Listening**
- **Effective Questioning**
- **Building Rapport**
- **Creating Win-Win Solutions**
- **Strategic Empathy**



Negotiation Strategies



Common Negotiation Mistakes

- **Lack of Preparation**
- **Ignoring BATNA**
- **Emotional Reactions**
- **Cognitive Biases**
- **Poor Communication**



Closing the Deal in Negotiations

- Negotiate the process
- Set benchmarks and deadlines
- Try a shut-down move
- Take a break
- Bring in a trusted third party
- Change the line-up
- Set up a contingent contract



CONCLUSION

**MASTERING THE ART OF NEGOTIATION
TAKES PRACTICE,
BUT THE REWARDS ARE WORTH IT.**

BY FOLLOWING THESE PRINCIPLES, YOU CAN
ACHIEVE SUCCESSFUL OUTCOMES WHILE
MAINTAINING POSITIVE RELATIONSHIPS.



Group Activity – Negotiation Role Play

- Each group is required to plan and perform a short role play demonstrating a negotiation scenario
- Students must clearly apply key concepts learned in class including:
 - ✓ Identifying and using BATNA
 - ✓ Focusing on interests rather than positions
 - ✓ Applying effective communication techniques (active listening, questioning, empathy)
 - ✓ Using appropriate negotiation strategies and tactics
- After the role play, each group should briefly explain:
 - The strategy used
 - What worked well and what challenges they faced



